

International Development Association Membership Act, 1962

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Act to Obtain Membership of the International Development Association, 2019

Royal Seal and Date of Publication

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Amending Acts

1. Nepal Acts Amendment, Repeal and Re-enactment Act, 2019 2019.2.30
2. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 2066.10.7
3. Act to Amend Some Nepal Acts to Make Them Consistent with the Constitution of Nepal, 2075 2075.1.19

Act No. 24 of the year 2019

An Act made for the purpose of enabling Nepal to become a member of the International Development Association by accepting the international agreements for the establishment and operation of the International Development Association. Preamble: Whereas the International Development Association has prescribed conditions under which Nepal may be admitted to membership of the International Development Association, as specified in Schedule-1 of this Act; and

Whereas it is necessary to make provisions for the matters written hereinafter in order to fulfill the conditions as written above,

The Federal Parliament has enacted this Act. This Act is made by His Majesty King Mahendra Bir Bikram Shah Dev in accordance with Article 93 of the Constitution of Nepal as amended by the Nepal Acts Amendment, Repeal and Re-enactment Act, 2019. 1. Short Title and Commencement: (1) This Act may be called the "Act to Obtain Membership of the International Development Association, 2019".

(2) This Act shall come into force immediately. 2. Definition: Unless the subject or context otherwise requires, in this Act,-

(a) "Association" means the International Development Association.

(b) "Association Agreement" means the Articles of Agreement of the Association. 3. Power to Make Agreements and Deposit Instruments of Acceptance: as amended by the Act to Amend Some Nepal Acts to Make Them Consistent with the Constitution of Nepal, 2075. The Finance Minister of the Government of Nepal may, by executing a document under his/her signature, authorize the person specified in that document to do the following on behalf of the Government of Nepal:-

(a) To sign the Articles of Agreement of the International Development Association.

(b) To deposit with the International Bank for Reconstruction and Development an instrument of acceptance of the Association Agreement, stating that the Government of Nepal has accepted, in accordance with the laws of Nepal, the relevant agreements and the conditions specified therein on which Nepal will be granted membership of the International Development Association. 4.

Power to Make Payments to the Association: The Finance Minister of His Majesty shall have the authority to make payments from the as amended by the Act to Amend Some Nepal Acts to Make Them Consistent with the Constitution of Nepal, 2075.Federal Consolidated Fund of such amounts as may from time to time become payable to the Association on behalf of the Government of Nepal under the conditions set forth in Schedule-1 and the Association Agreement. 5. Power to Issue Promissory Notes: The Finance Minister may, on behalf of the Government of Nepal, create and issue in the name of the Association non-interest-bearing and non-negotiable promissory notes or other obligations in such form as he/she deems appropriate, as described in Article 2, Section 2(e) of the Association Agreement according to Schedule 2, and payment of the promissory notes or obligations so created and issued shall be made from the as amended by the Act to Amend Some Nepal Acts to Make Them Consistent with the Constitution of Nepal, 2075.Federal Consolidated Fund. 6. Nepal Rastra Bank to be Designated as Depository: Nepal Rastra Bank is designated as the depository for the purposes of Article 6, Section 9 of the Association Agreement according to Schedule-3. 7. Medium of Communication: The Secretary of the Government of Nepal, Ministry of Finance, is designated as the medium of communication for the purposes of Article 6, Section 10 of the Association Agreement according to Schedule-4. 8. Status, Immunities and Privileges of the Association: Notwithstanding anything contained in the prevailing Nepal law, the Association shall enjoy the status, immunities and privileges as set forth in Article 8 of the Association Agreement according to Schedule-5. 9. Power to Amend Schedules: If any amendment is made to any matter contained in the Schedules of this Act relating to the Association Agreement, the Government of Nepal may, by publishing a notice in the Nepal Gazette from time to time accordingly, amend the Schedules of this Act. 10. Power to Make Rules: The Government of Nepal may make rules for the purpose of implementing this Act. 12. Schedule-1 International Development Association Proposal No.

15 Membership for Nepal Whereas the Government of Nepal has applied for membership of the International Development Association under Article 2, Section 1(vi) (hereinafter referred to as the Article); and Whereas the Executive Directors, in accordance with Section 9 of the By-Laws of the Association, have, after consultation with representatives of Nepal, submitted a recommendation to the Board of Governors regarding this application, The Board of Governors hereby proposes to admit Nepal to membership of the Association on the following terms and conditions:- (a) Except as expressly provided in this proposal, the terms and conditions upon which Nepal shall acquire membership of the Association shall be those set forth in the Articles (including, without intent of limitation, conditions relating to payment of subscriptions, use of currency and voting rights) as specified for initial members in Part II of Schedule (A) to the Articles. (b) Nepal shall subscribe to a total value equivalent to US \$500,000, calculated in terms of United States dollars of the weight and fineness in effect on January 1, 1960, as a contribution upon acceptance of membership of the Association. (c) Prior to acceptance of membership of the Association, Nepal shall pay all amounts of the initial subscription payable by a member of the Association on the date of acceptance of membership or earlier, in the same manner as initial members referred to in Part II of Schedule (A) to the Articles. (d) Nepal may accept membership of the Association under this proposal on or before November 5, 1962; provided that the Executive Directors may extend such period if they find that due to exceptional circumstances a further extension of the period for accepting membership under this proposal is necessary.

Schedule-2

Article 2, Section 2(e) of the Articles of Agreement of the International Development Association

Section 2(e) - The Association shall accept from any member, in lieu of any part of the member's currency paid or payable by the member which the Association determines is not needed for its operations,

non-interest-bearing and non-negotiable notes or similar obligations of the member, or of the depository designated by the member, which shall be payable on demand to the Association at its designated depository and in the currency of the member, provided that the value of the currency is maintained in accordance with paragraph (d) of this Section or Article 4, Section 2, as the case may be:-

(a) If the Association determines that the par value of the currency of a member state has been reduced or that the foreign exchange value of the currency of a member state has depreciated significantly within the territory of that member, the member state shall pay to the Association within a reasonable time additional currency of its own sufficient to maintain the value of the currency paid by the member state to the Association under Article 2, Section 2(d) as at the time of such payment. The foregoing shall apply only to currency, whether in the form of notes accepted under Article 2, Section 2(e) or otherwise, until it is paid out or exchanged for the currency of another member.

(b) If the Association determines that the par value of the currency of a member state has been increased or that the foreign exchange value of the currency of a member state has appreciated significantly within the territory of that member, the Association shall pay to that member state within a reasonable time currency of the member equivalent to the increase in value, applying the rule in the Annex to this Section.

(c) The Association may apply the rule in the foregoing Annexes if the International Monetary Fund changes the par values of the currencies of all members in uniform proportion.

(d) Amounts paid under paragraph (a) of this Section to maintain the value of a currency shall be convertible and usable in that same currency. Schedule-3

Article 6, Section 9 of the Articles of Agreement

9. Depositories: Each member country shall designate its central bank as a depository for the currency of that member held by the Association or for other assets of the Association, or if it has no central bank, it shall designate such other institution as may be acceptable to the Association. In the absence of a separate designation, the depository designated for the Bank shall be the depository for the Association.

Schedule-4 Article 6, Section 10 of the Articles of Agreement 10. Medium of Communication: Each member country shall designate an appropriate official as the medium for communication in connection with any matter arising under this Agreement, through which the Association shall correspond. In the absence of a separate designation, the official designated for the Bank shall be considered the medium of communication for the Association. Schedule-5 Article 8 of the Articles of Agreement Status, Immunities and Privileges 9. Section 1 - Purposes of Article: To enable the Association to fulfill the functions with which it is entrusted, the status, immunities and privileges set forth in this Article shall be accorded to the Association in the territory of each member. 2. Status of the Association: The Association shall possess full juridical personality and in particular, the capacity:- (1) to contract; (2) to acquire and dispose of immovable and movable property; (3) to institute legal proceedings. 3. Position of the Association with regard to Judicial Process: Actions may be brought against the Association only in a court of competent jurisdiction in the territory of a member in which the Association has an office, has appointed an agent for the purpose of accepting service of process, or has issued or guaranteed securities. No action shall be brought by members or persons acting for or deriving claims from members. The property and assets of the Association shall, wheresoever located and by whomsoever held, be immune from all forms of seizure, attachment or execution before the delivery of final judgment against the Association. 4. Immunity of Assets from Seizure: The property and assets of the Association, wheresoever located and by whomsoever held, shall be immune from search, requisition,

confiscation, expropriation or any other form of seizure by executive or legislative action. 5. Immunity of Archives: The archives of the Association shall be inviolable. 6. Freedom of Assets from Restrictions: To the extent necessary to carry out the operations provided for in this Agreement and subject to the provisions of this Agreement, all property and assets of the Association shall be free from restrictions, regulations, controls and moratoria of any nature. 7. Privilege for Communications: The official communications of the Association shall be accorded by each member the same treatment that it accords to the official communications of other members. 8.

Immunities and Privileges of Officers and Employees: All Governors, Executive Directors, Alternates, officers and employees of the Association shall: (1) Be immune from legal process with respect to acts performed by them in their official capacity except when the Association waives this immunity; (2) Not be local nationals, they shall be accorded the same immunities from immigration restrictions, alien registration requirements, national service obligations and the same facilities as regards exchange restrictions as are accorded by members to the representatives, officials and employees of comparable rank of other members; (3) Be accorded the same travelling facilities as are accorded by members to representatives, officials and employees of comparable rank of other members. 9. Immunity from Taxation: (a) The Association, its assets, property, income and its operations and transactions authorized by this Agreement shall be immune from all taxation and from all customs duties. The Association shall also be immune from liability for the collection or payment of any tax or duty. (b) No tax shall be levied on any salary or emolument paid by the Association to Executive Directors, Alternates, officials or employees of the Association who are not local citizens, local subjects, or other local nationals. (c) No taxation of any kind shall be levied on any obligation or security (including any dividend or interest thereon) issued by the Association, by whomsoever held:- (1) If it discriminates against such obligation or security solely because it is created by the Association; or (2) If the sole jurisdictional basis for such taxation is the place or currency in which it is issued, made payable or paid, or the location of any office or place of business maintained by the Association. (d) No taxation of any kind shall be levied on any obligation or security (including any dividend or interest thereon) guaranteed by the Association, by whomsoever held:- (1) If it discriminates against such obligation or security solely because it is guaranteed by the Association; or (2) If the sole jurisdictional basis for such taxation is the location of any office or place of business maintained by the Association. 10. Application of Article: Each member shall take such action as is necessary in its territory for the purpose of giving effect to the principles set forth in this Article and shall inform the Association of the detailed action which it has taken.